

Vietnam Export Positioning: Japan, Netherlands and Italy (2015-2024)

PURPOSE	Independent research project submitted as part of university application portfolio
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SCOPE	Bilateral export structure and value-chain position, three partner countries
DATA	UN Comtrade (HS2) · World Bank Open Data · Eurostat EU-Vietnam Trade Statistics

1. EXECUTIVE SUMMARY

Vietnam's exports to Japan, the Netherlands, and Italy grew in every year from 2015 to 2024. Across all three relationships, electronics dominate the export basket and their share is increasing. The EU-Vietnam Free Trade Agreement (EVFTA, August 2020) raised export volume to the Netherlands by 51%, yet electronics concentration rose from roughly 58% to 72% over the same period. Volume expanded; category diversification did not follow. Italy presents a partial contrast. Vietnam participates in the Italian leather-to-footwear pipeline as an Outward Processing Trade (OPT) partner, importing high-grade raw inputs, manufacturing finished goods, and re-exporting into European premium markets. This is a more value-proximate position than the assembly-stage electronics role Vietnam holds in Japan and the Netherlands. Across the three partners, Vietnam is a high-volume, mid-complexity manufacturer with limited evidence of upward movement in value capture.

2. PARTNER SNAPSHOT, 2024

Partner	2024 Exports	CAGR 2015-24	Electronics Share	Key Characteristic
Japan	\$15.45B	+5.2%	41.75%	Stable electronics dominance; flat unit values
Netherlands	\$12.10B	+9.8%	~72%	Post-EVFTA volume surge; concentration rose
Italy	\$3.74B	+9.65%	~26.7%	OPT integration in leather and footwear

3. JAPAN

Scale and composition

Japan received \$15.45B from Vietnam in 2024, at a 5.2% CAGR since 2015. Electrical and electronic equipment accounts for 41.75% of that total (\$6.45B) and grew at 8.4% CAGR across the decade. That rate exceeds the bilateral average and pulls the overall figure up. Non-electronics categories averaged roughly +3.1% CAGR, below the bilateral total.

Unit value gap

Volume in electronics grew across the full period. Unit values did not. Vietnam's electronics exports to Japan concentrate in assembly-stage components, where the brand or design entity upstream captures the margin. Semiconductor and precision component sub-categories, where per-unit economics are stronger, remain a small share of the total. Vietnam grows Japan revenue by shipping more units at the same margin, not by moving into higher-specification products.

Category growth rates, Japan (avg YoY 2015-2024)

Category	Avg YoY Growth
Electrical and electronic equipment	+8.4%

Category	Avg YoY Growth
Machinery and mechanical appliances	~+5.6%
Apparel, knit	~+4.1%
Apparel, non-knit	~+3.8%
Wood and articles	~+3.2%

Strategic note

Vietnam supplies Japan's electronics chain at scale and with consistent reliability. Shifting into precision components or higher-specification sub-assemblies would improve revenue per unit without requiring volume increases. That shift depends on FDI attraction into design-proximate manufacturing and domestic investment in precision engineering capability.

4. NETHERLANDS

EVFTA impact and the Rotterdam Effect

The EVFTA entered force in August 2020. Vietnam's exports to the Netherlands grew 51% between 2020 and 2024. The Netherlands now records 24.56% of all Vietnam-EU trade. This figure reflects the Rotterdam Effect: goods entering the EU through Rotterdam are registered as Dutch imports regardless of their final destination. The 24.56% overstates final Dutch consumption while correctly measuring Rotterdam's function as the primary EU clearance hub for Vietnamese goods.

Concentration finding

Electronics share of Vietnam's Netherlands exports rose from roughly 58% in 2019 to roughly 72% in 2024. The EVFTA reduced tariffs on food, furniture, and textiles. Exports in those categories grew, but at lower rates than electronics. Electronics took a larger share of a larger total. The agreement opened a structural opportunity for diversification that the export data shows has not materialised.

Pre and post-EVFTA category comparison, Netherlands

Category	2019 (USD B)	2024 (USD B)	Change
Electrical and electronic equipment	~2.1	~5.8	+176%
Machinery and mechanical appliances	~0.8	~1.4	+75%
Footwear	~0.5	~0.8	+60%
Apparel, non-knit	~0.4	~0.6	+50%
Coffee, tea, spices	~0.2	~0.3	+50%

Strategic note

EVFTA tariff reductions on agricultural and light manufacturing categories are underused relative to their potential. Growth in coffee, furniture, and processed food requires product-level market access work beyond tariff reduction. Without that, electronics will continue to capture the gains from any further trade liberalisation.

5. ITALY

Scale and composition

Italy received \$3.74B in Vietnamese exports in 2024, growing at 9.65% CAGR since 2015. Electronics account for roughly 26.7% of the total (\$1.0B), a lower concentration than Japan (41.75%) or the Netherlands (72%). The Italy basket is more diversified than the other two bilateral relationships.

OPT integration in leather and footwear

Italy exports raw leather and semi-processed hides to Vietnam. Vietnam manufactures finished footwear and apparel and ships them back into Italian and European premium distribution. This is Outward Processing Trade (OPT): Vietnam imports high-grade inputs, applies manufacturing labour, and captures processing value-add. The position is qualitatively different from Vietnam's electronics role in Japan and the Netherlands, where assembly happens further from the value-generating end of the product chain. Footwear and knit apparel both grew above the Italy bilateral CAGR average.

Category growth rates, Italy (avg YoY 2015-2024)

Category	Avg YoY Growth (%)
Apparel, knit	8.52%
Footwear	8.44%
Coffee, tea, spices	8.40%
Electrical and electronic equipment	7.68%
Portfolio average	8.26%

Strategic note

Italy shows what value-chain participation looks like when Vietnam is not simply assembling. Moving deeper into OPT, toward co-design or branded sub-contracting in Italian luxury manufacturing, would increase the processing margin Vietnam captures. Coffee and agri-food exports also show diversification not present in Japan or Netherlands data, and both categories grew above the bilateral average.

6. CROSS-PARTNER COMPARISON

Positioning

Japan and the Netherlands both show high electronics volume and rising concentration. Italy shows lower electronics volume, lower concentration, and faster growth in non-electronics categories. Japan and the Netherlands are scale markets where Vietnam competes on volume. Italy is a processing market where Vietnam competes on manufacturing capability.

CAGR comparison across partners

Partner	Total CAGR	Electronics CAGR	Non-Electronics CAGR	Interpretation
Japan	+5.2%	+8.4%	~+3.1%	Electronics above bilateral average
Netherlands	+9.8%	Dominant	Below average	Concentration deepened post-EVFTA
Italy	+9.65%	+7.68%	+8.52% (apparel)	Most balanced growth across categories

7. STRATEGIC RECOMMENDATIONS

- Japan.** Shift within electronics toward precision components and semiconductor sub-categories (HS 85). Volume growth at 5.2% CAGR is stable. Margin improvement requires product-level movement within the category, not category diversification.
- Netherlands.** EVFTA tariff reductions on food, furniture, and textiles have not been captured at the export level. Processed agricultural goods and design-proximate manufacturing are the categories with room to grow under the existing agreement.
- Italy.** The leather-to-footwear OPT pipeline is the strongest example of value-chain participation in this dataset. Extending this model to other Italian manufacturing sectors, where Vietnam processes rather than assembles, is the highest-return option in this bilateral relationship.

8. METHODOLOGY AND DATA NOTE

Data source. UN Comtrade bilateral export records, HS2 classification. Reporter: Vietnam (704). Partners: Japan (392), Netherlands (528), Italy (380). Supplemented with World Bank trade openness indicators and Eurostat EU-Vietnam aggregate totals for EU share calculation. **Coverage period.** 2015-2024. 2024 is the final year of fully consolidated, non-preliminary bilateral reporting across all three partner registries at the time of pipeline execution (June 2026). **Pipeline.** Data collected via UN Comtrade API, structured in Python and SQLite, exported as CSV, visualised in Power BI Desktop. **CAGR formula.** $CAGR = (End\ Value / Start\ Value)^{(1/n)} - 1$, where n is the number of years. Applied to USD nominal trade values. No inflation adjustment applied; all figures in current USD. **Electronics concentration.** Share of total bilateral export value attributable to HS2 code 85 (Electrical and electronic equipment). **Rotterdam Effect.** Netherlands figures reflect port-of-entry registration, not final Dutch consumption. The 24.56% EU share measures Rotterdam's gateway function, not Dutch domestic absorption. **Italy electronics share.** Calculated as HS85 value against total bilateral exports for 2024 (~26.7%). Verify against primary dataset before external citation. **Limitation.** Unit value analysis (USD/kg) was excluded due to weight reporting gaps in Comtrade data across several HS2 codes in Vietnam bilateral flows.

Full dataset, SQL queries, Python pipeline, and Power BI dashboard: github.com/Jabariente/vietnam-trade-analysis